

The list can be even more elaborate. The more time you spend on this now, the closer you will be to reality and your financial freedom plan will be more accurate. Brainstorm with your family, let everyone contribute; wait for a day or two and then review your answers so that you do not miss out on some of the seemingly small expenses that accumulate to big ones.

Finally, you need to allocate 5 to 10% of your planned expenses each month for miscellaneous and unpredictable expenses.

When I did this exercise for myself, I was shocked to discover how much I had underestimated my monthly expenses.

Figure 7.2 shows a snapshot of the exercise I did in the year 2014 when calculating the cash outflow. This spreadsheet lists each expense head, whether big or small, based on my own tracking. Of course, each of you can have your own expense heads – but for most of us, the below list should be good enough.

The monthly expenses data may come as a shock to some of you, but there is a wonderful flip side to this exercise. Once you take this step, you will feel better now that you know the truth, and you will slowly begin to gain power over your own money – an entity, which had been controlling you until now.

Do not worry about creating new templates in Excel. All templates illustrated in this book are available for free download on the Freedom Portal.

Alternatively, you may opt to use any template of your own. If you have already been tracking your expenses, you may want to continue to use your own template. It is up to you. You must use what works for you.

The idea behind this exercise was for you to make sure that you are tracking all expenses – big and small – and averaging them on a monthly basis.

Take care of the following points when you track your expenses: